

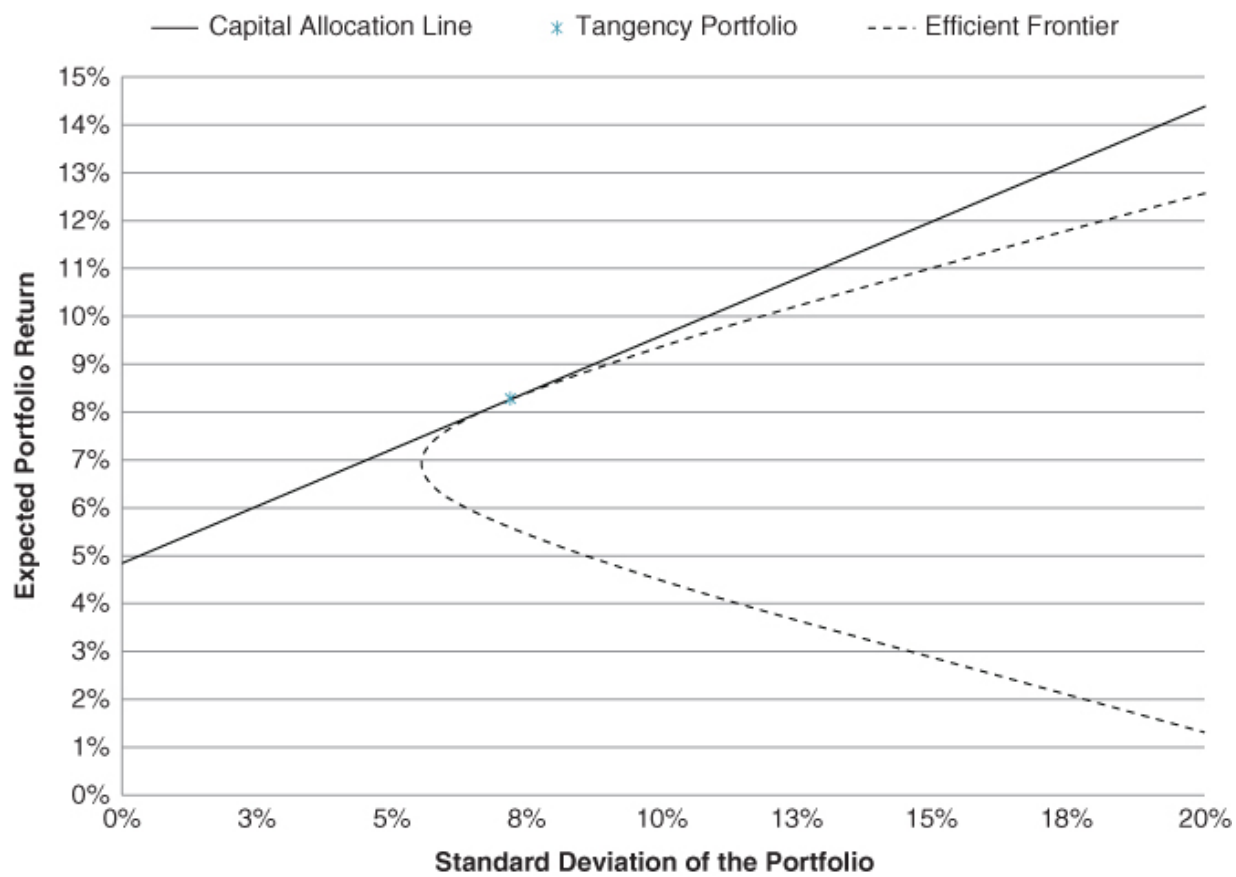


Figure 6.1 Classic Modern Portfolio Theory Chart

This all sounds great in theory, and Wes and Jack still teach advanced college-level courses on the subject; however, as practitioners and not students-in-training, we are less focused on complex mathematical solutions, and more focused on pragmatic tools that work. We must ask the question, do complex asset-allocation strategies grounded in modern portfolio theory even work? To address this question, we explore a 2009 study by DeMiguel, Garlappi, and Uppal, “Optimal Versus Naïve Diversification,” and find something remarkable: a basic equal-weight asset allocation model beats modern portfolio theory and 13 other even more complex strategies.¹ In other words, complexity doesn't add value.

But how can we make this point more concrete at the outset? Consider an investor who wants to allocate across three asset classes:

1. **Stock Market:** S&P 500